Viability Validation Report - Codefi Farm Financial Planning

Executive Summary

Viability Assessment: Conditionally Viable

Finding: The business model is financially sound with realistic unit economics. Success depends on validating three critical assumptions by Month 6: (1) farmers can self-serve cost data entry, (2) scenario outputs drive decision confidence, (3) retention exceeds 60%.

Financial Model: 40–60 customers EOY1 at $150 ARPU, 18–20 months to break-even, $425K seed capital required.

Confidence Level: High on product thesis and unit economics. Medium on co-op adoption (2–3% Year 1) and go-to-market execution. Conditional on hitting pre-committed validation gates.

Viability Assessment Framework

Scenario 1 — Co-op Focused: 150 customers EOY1, $120 ARPU, 60% retention, $400 CAC. Year 1 burn: $166K. LTV:CAC: 7.65:1. Break-even: ~167 customers. **Status: Requires 5–8% co-op adoption—currently modeling 2–3% conservatively.**

Scenario 2 — Dual Channel (Base Case): 40–60 customers EOY1 (40–50 co-ops, 10–20 direct), $150 blended ARPU, 60% retention, $400–700 CAC by channel. Year 1 burn: $274K. Blended LTV:CAC: 5–6:1. Break-even: 200–230 customers. **Status: Viable. Validates both channels in parallel.**

Scenario 3 — Conservative: 30 customers, $100 ARPU, 50% retention, $600 CAC. LTV:CAC: 2.55:1. **Status: Not viable—below 3:1 threshold.**

Recommendation: Base planning on Scenario 2. Co-op partnership execution and direct acquisition experimentation will determine which channel scales.

Critical Validation Gates

Month 2: Data Entry Friction Gate - Gate: 40%+ of farmers complete cost entry in under 15 minutes with minimal agronomist assistance - Data source: Agronomist debrief form (5 questions, 2 minutes), in-app instrumentation - If fails: Direct channel CAC becomes prohibitive ($1,200+). Pivot to co-op-only, adjust pricing down to $100/month - Probability: Medium (farmers may lack organized cost data)

Month 4: Scenario Quality Gate - Gate: 60%+ of active farmers report scenario outputs match their intuition - Data source: 48-hour farmer text survey, cost field re-entry tracking - If fails: Product engagement collapses. Requires fundamental redesign - Probability: Medium-High (depends on cost data quality from Month 2)

Month 6: Engagement & Retention Gate - Gate: 40–60 paying customers, 60%+ Month-over-month retention, clear channel winner identified - Data source: MRR, churn tracking, CAC by channel - If fails: Viability breaks unless retention can be improved. Series A becomes mandatory, not optional - Probability: High (achievable if Months 2 and 4 succeed)

Unit Economics & Financial Projections

Base Case (Dual Channel): - Year 1 Customers: 40–60 (average 50) - ARPU: $150/month - Year 1 Revenue: $54–72K - CAC: $400 co-ops, $650 direct (blended ~$500) - LTV: $150 × 40-month lifespan × 85% margin = $5,100 - LTV:CAC: 5.1:1 - Payback period: 5–6 months - Year 1 burn: $274K (fixed + variable + parallel marketing) - Break-even customer count: 200–230 - Timeline to break-even: 18–20 months - Break-even cash requirement: $425K seed + disciplined spend

Sensitivity: If retention drops to 50% (vs. 60% assumed), break-even requires 300+ customers, extends timeline to 24+ months. Requires $500K+ runway.

Go-to-Market Strategy & Channel Validation

Co-op Channel (Primary Year 1): - Model: White-label partnership with co-ops at revenue share - Expected adoption: 2–3% of co-op members Year 1 (40–50 farmers from 3 co-ops) - CAC: $100–160 per farmer (partnership setup cost distributed) - Activation: Agronomist-assisted onboarding in pre-season calls - Retention driver: Embedded relationship with trusted advisor - Risk: Co-op adoption rates are unvalidated; depends on agronomist promotion effort

Direct-to-Farmer Channel (Parallel validation): - Model: Content marketing + LinkedIn/Facebook ads targeting 35–50 age, $800–2,500 acre operators - Expected CAC: $600–800 (if farmers self-serve); $1,200+ (if assistance required) - Activation: Strong self-serve onboarding with 15-minute first scenario hook - Retention driver: Historical decision logs + benchmarking competitive awareness - Risk: High CAC if data entry requires assistance; unviable if CAC exceeds $900

Channel Decision: By Month 6, abandon or scale whichever channel shows stronger unit economics and retention.

Product Strategy & MVP Roadmap

MVP (Launch Week 6): - Scenario engine: What-if modeling for input costs, timing, yield - Cost tracking: Per-field input cost entry (manual) + aggregation - Decision logging: One-click "What did you decide?" capture at scenario output - No data integrations (launched later based on farmer demand) - No automated engagement prompts (agronomist-driven in Year 1)

Instrumentation (Day 1): - Time-on-screen for cost entry flow - Fields completed vs. skipped or defaulted - Re-entry to edit costs after first scenario (trust signal) - Agronomist debrief form post-onboarding - 48-hour farmer accuracy survey

Iteration (Months 3–6 based on Month 2 learning): - If farmers request real-time commodity feeds: Add data integrations - If farmers want monthly engagement: Design contextual prompts - If farmers want benchmarking: Expand benchmark dataset visualization - If farmers want advisor collaboration: Add scenario sharing tools

Principle: Launch narrow, iterate based on real farmer demand. Avoid building features assumed to matter.

Risk Assessment & Mitigation

Financial Risks (High Impact, Medium-High Probability): - CAC exceeds model: Direct channel CAC becomes $900+. Mitigation: Validate by Month 2; shift allocation to co-op if CAC too high - Retention falls below 60%: LTV drops, break-even extends to 24+ months. Mitigation: Track retention weekly; if Month 4 below 55%, redesign engagement model - Runway miscalculation: Burn higher than $16K/month. Mitigation: Monthly cash flow forecasting; hard spending caps by category

Product Risks (Medium Impact, Medium Probability): - Cost data quality prevents meaningful scenarios: Farmers lack organized data. Mitigation: Month 2 gate explicitly tests this; pivot to assisted-entry model if needed - Scenario outputs don't match farmer intuition: Model assumptions wrong. Mitigation: Month 4 gate; if 60%+ fail, redesign scenarios before scaling

Go-to-Market Risks (High Impact, Medium-High Probability): - Co-op partnerships fail to materialize: Agronomists don't promote, or co-ops block. Mitigation: Start conversations Week 1; have 2+ in LOI by Month 3 - Direct CAC too high to scale: $900+ means no unit economics at $150 price. Mitigation: Test and measure CAC by Month 2; adjust pricing or segment if needed - Competitor moves first: FINPACK or John Deere white-labels before you. Mitigation: Speed to market, lock in early co-op partnerships, build case studies by Month 6

Recommendations & Next Steps

Immediate (Before launch): 1. Lock seed funding ($425K) with explicit understanding of Month 2, 4, 6 gates. Tie investor confidence to gate outcomes, not optimistic projections 2. Start co-op partnership conversations (relationship-building, not hard pitches). Target 2 LOIs by Week 8 3. Design agronomist debrief instrumentation: 5-question form, text-based, immediate post-call feedback

Months 1–2 (Product launch + validation setup): 1. Ship MVP by Week 6 with core instrumentation live (time-on-screen, cost entry completion, decision logging) 2. Launch 2–3 co-op pilots (8–12 farms each) with deliberate data collection 3. Launch direct-to-farmer channel (landing page + email + light paid ads) for CAC measurement 4. Collect Month 2 gate data: cost entry friction, agronomist feedback, farmer accuracy survey

Months 3–6 (Learning + iteration): 1. Make Month 2 hard pivot decision: Is self-serve cost entry viable, or do you need assisted model? 2. Iterate product based on farmer feedback (integrations, prompts, sharing tools) 3. Build 2–3 case studies showing ROI (specific decisions changed, margins improved) 4. Collect Month 4 gate data: scenario quality, decision confidence, cost re-entry rates 5. By Month 6: Have 40–60 paying customers, 60%+ retention, clear channel winner

Months 6–12 (Scale winning channel): 1. Double down on whichever channel (co-op or direct) shows better unit economics 2. Start integration partnerships with lenders (external validation, retention driver) 3. Build second benchmarking dataset (if co-ops are winning, expand to adjacent regions) 4. Target 150–200 customers by EOY, clear break-even trajectory 5. Prepare Series A narrative: "We've validated the market, proven the unit economics, and built a defensible distribution moat."